

DIAGNOSTIC TEST

This brief test helps detect investor availability bias.

Availability Bias Test

Question 1: Suppose you have some money to invest and you hear about a great stock tip from your neighbor who is known to have a good stock market sense. He recommends you purchase shares in Mycrolite, a company that makes a new kind of lighter fluid for charcoal grills. What is your response to this situation?

- a. I will likely buy some shares because my neighbor is usually right about these things.
- b. I will likely take it under advisement and go back to my house and do further research before making a decision.

Question 2: Suppose that you are planning to buy stock in a generic drug maker called “Generics Plus.” Your friend Marian sent you a report on the company and you like the story, so you plan to purchase 100 shares. Right before you do, you hear on a popular financial news show that “GN Pharmaceuticals,” another generic drug maker, just reported great earnings and the stock is up 10 percent on the news. What is your response to this situation?

- a. I will likely take this information as confirmation that generics are a good area to be in and proceed with my purchase of Generics Plus.
- b. I will pause before buying Generics Plus and request research on GN prior to proceeding with the purchase of Generics Plus.
- c. I will purchase GN rather than Generics Plus because GN appears to be a hot stock and I want to get in on a good thing.

Question 3: Which claims more lives in the United States?

- a. Lightning.
- b. Tornadoes.

Test Results Analysis

Question 1: Respondents choosing “a” are likely to be susceptible to availability bias.

Question 2: Respondents choosing “c” are likely to be susceptible to availability bias.